

May 17, 2026 10:27 PM GMT

Asia Thematic Strategy | Asia Pacific

Investor Presentation: Playing Asia's Investment Super-Cycle and Competitive Reinvention

The competitive reinvention of Asia and global thematic drivers have set up an investment super-cycle across AI Infra, Energy/Economic Security and Defence. We continue to prefer upstream sectors and Financials vs. consumer/services, but highlight potential opportunities to broaden out from Compute.

Asia and EM equities provide an array of thematic opportunities, with strongest concentrations in Japan, Korea and Taiwan, underpinned by a broadening reform agenda that also includes Singapore and China.

A super-cycle of investment in Security (Energy, Economic and Military) and AI Compute are driving a strong outlook for the Industrials, Materials and Energy sectors, while we expect Consumer/Services to lag.

Across Economic Exposure Groups, we note that Commodities have lagged and are UW-positioned versus Compute and Capital Goods, presenting opportunities for broadening exposure beyond Tech.

Our Focus Lists are concentrated in capital goods players across Renewable Energy and ESS, Semi Localization, AI Compute Infrastructure, Defence and Electrical Equipment.

MORGAN STANLEY ASIA (SINGAPORE) PTE.+

Daniel K Blake

Equity Strategist

Daniel.Blake@morganstanley.com

+65 6834-6597

Kristal Ji

Equity Strategist

Kristal.Ji@morganstanley.com

+65 6834-6949

MORGAN STANLEY ASIA LIMITED+

Ehsernta Fu

Equity Strategist

Ehsernta.Fu@morganstanley.com

+852 3963-3711

MORGAN STANLEY ASIA (SINGAPORE) PTE.+

Jonathan F Garner

Equity Strategist

Jonathan.Garner@morganstanley.com

+65 6834-8172

MORGAN STANLEY & CO. LLC

Stephen C Byrd

Equity Analyst

Stephen.Byrd@morganstanley.com

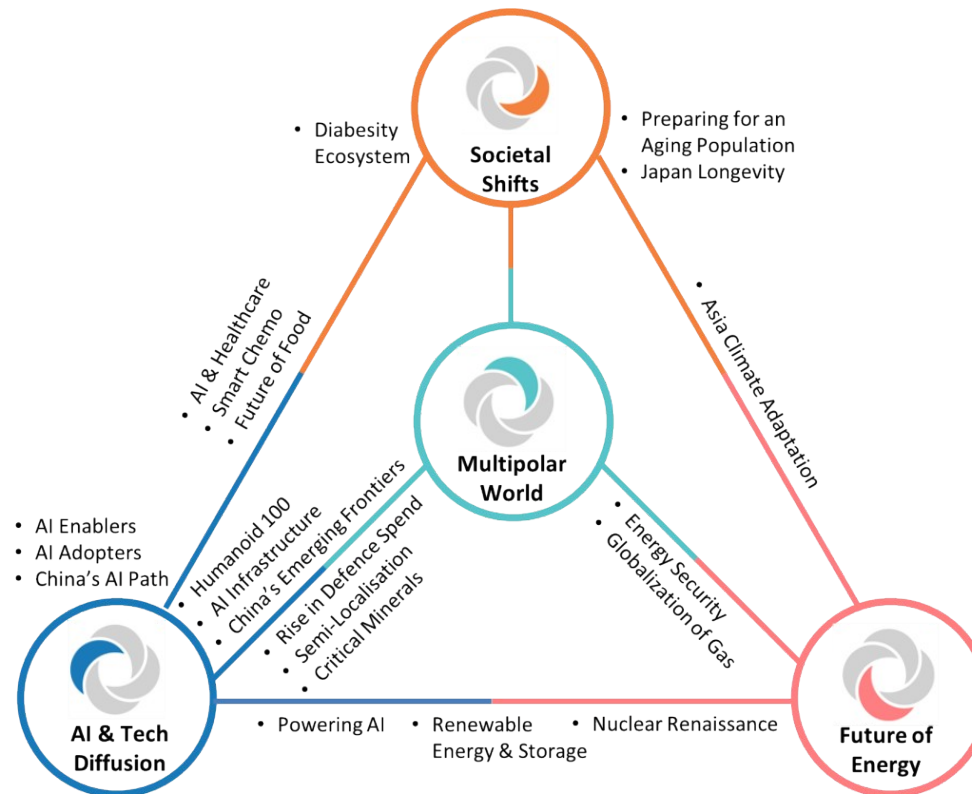
+1 212 761-3865

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Asia's Competitive Reinvention – Morgan Stanley's Core Themes Are Driving Transformation and Thematic Opportunity



Asia's Capital Market and Governance Reforms

- Japan ROE & Productivity Journey
- China Anti-Involution Initiative
- New India and IndiaStack
- Korea Reform Renaissance
- Singapore Capital Market Reforms
- Asia Financial Acceleration

Source: Morgan Stanley Research

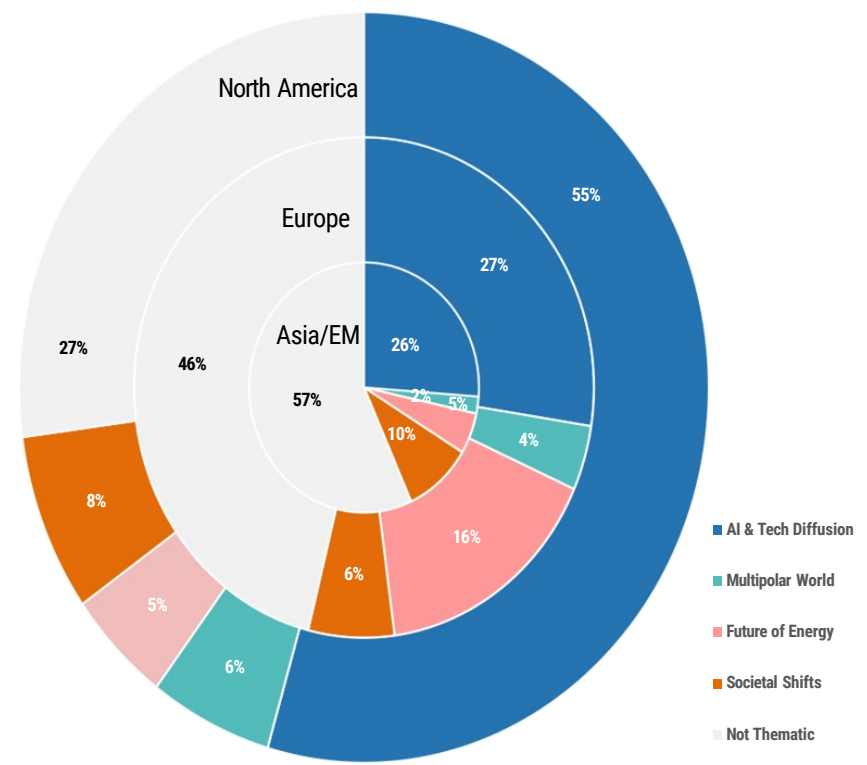
Mapping Out Morgan Stanley's Four Global Themes and Investible Sub-Themes

Multipolar World (MSRSTMPW)	AI & Tech Diffusion (MSRSTATD)	Future of Energy (MSRSTFOE)	Societal Shifts (MSRSTLGT)
The Rise in Defense Spending (MSRSTDFN)	AI Enablers (MSRSTAIE)	Powering AI (MSRSTPAI)	Diabetes Ecosystem (MSRSTDSE)
Semiconductor Localization (MSRSTASR)	AI Adopters (MSRSTAIA)	Nuclear Renaissance (MSRSTNUC)	AI & Health Care (MSRSTAIH)
Critical Minerals (MSRSTCRM)	AI Infrastructure (MSRSTAIL)	Europe's 'Low Decarb Diet' (MSRSTELC)	Smart Chemo (MSRSTSMC)
	Humanoids (MSRSTHUM)	Power Grid Growth & Evolution (MSRSTPGE)	Preparing for an Aging Pop'n (MSRSTPAP)
	China's AI Path	Clean Energy & Storage (MSRSTEST)	Japan Longevity (MSRSTJPL)
	China's Emerging Frontiers	Energy Security (MSRSTENS)	Future of Food & Beverages (MSRSTFFB)
	Asia AI Adoption Leaders	Globalization of Natural Gas (MSRSTGNS)	AI Job Displacement & Re-Skilling
		Asia Climate Adaptation	

Source: Morgan Stanley Research.

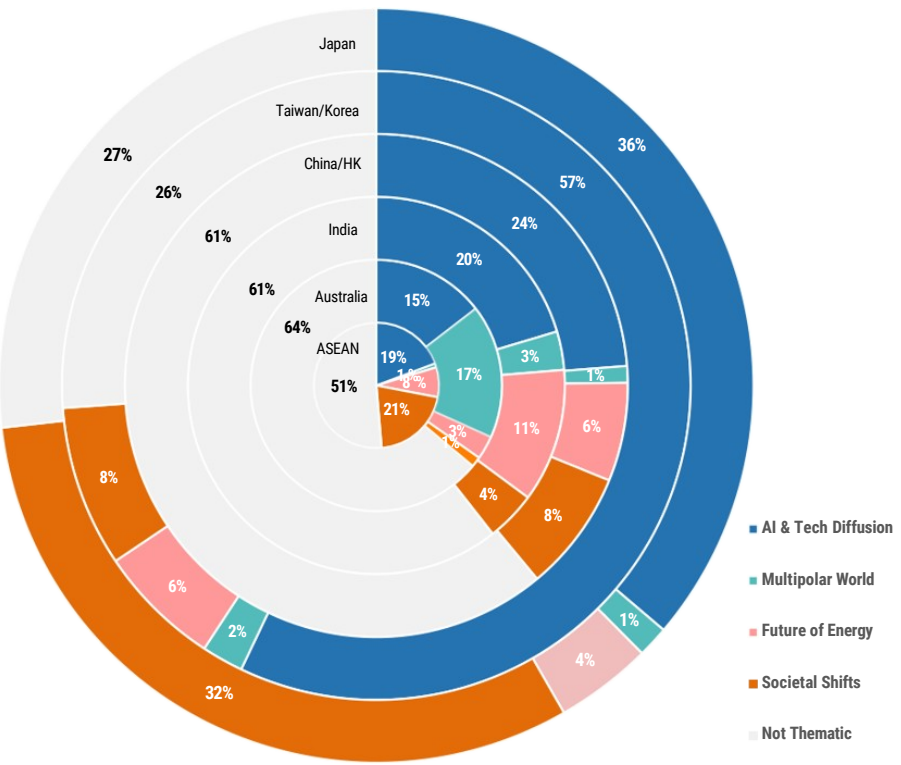
Global Thematic Equity Exposure – Assessing Relative Breadth across Regions/Markets

Thematic Exposure by Region – North America has significant exposure to AI & Tech Diffusion



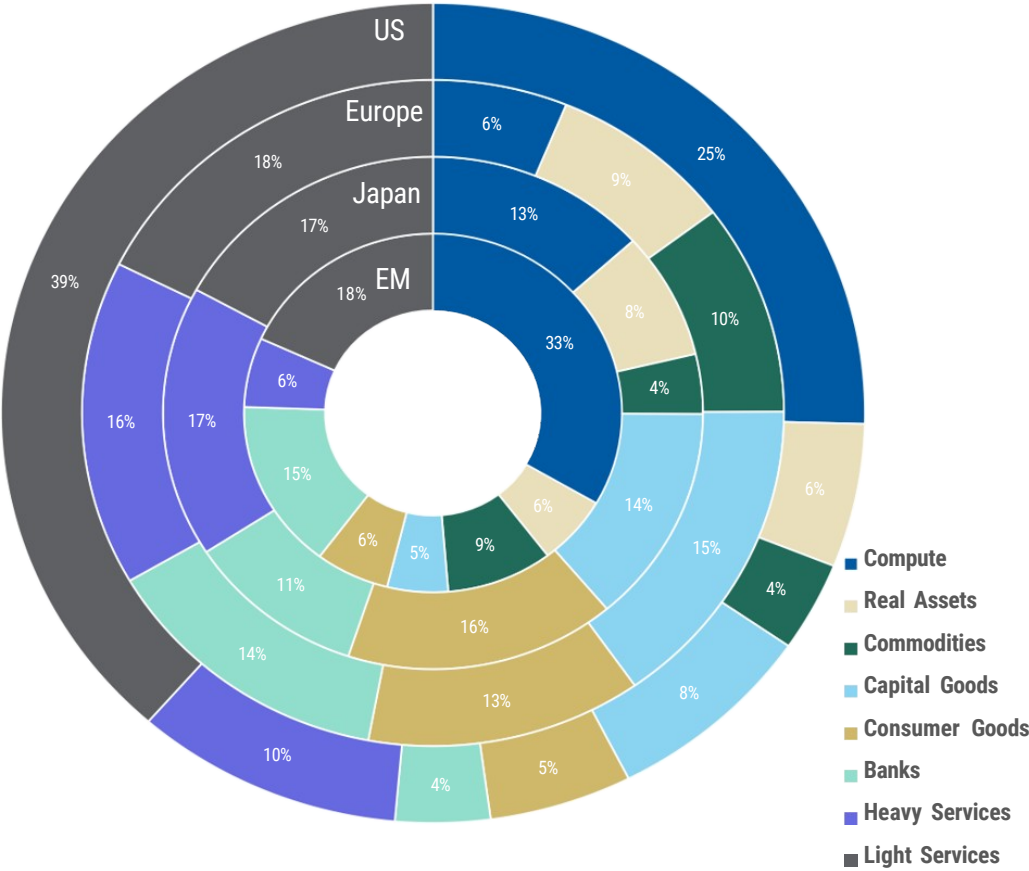
Source: Morgan Stanley Research. Note: Stocks mapped to multiple themes have a pro-rated share assigned to each

Thematic Exposure in Asia Pacific – Japan, Taiwan and Korea have the highest concentration of opportunity



Source: Morgan Stanley Research; Note stocks mapped to multiple themes have a pro-rated share assigned to each. We include Corporate Reform sub-themes in Asia/EM

MSCI Index Breakdown by Economic Exposure – Thematic Forces Driving Major Shifts



Thematic forces are driving major shifts across the underlying economic exposure of companies, driving index shifts.

Our Economic Exposure breakdown highlights the following relative concentrations:

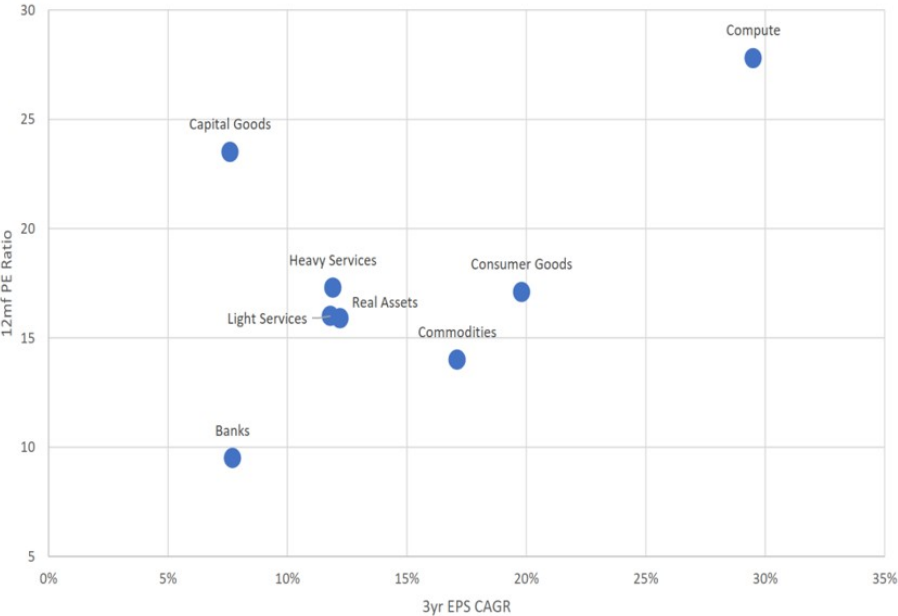
Region	Skewed to	Less Exposed to
US	Compute, Light Services	Banks
Europe	Commodities, Cap Goods, Heavy Services	Compute
Japan	Cap Goods, Heavy Services, Consumer Gds	-
EM	Compute, Commodities	Capital Goods, Light Services

Source: Factset, Morgan Stanley Research Data as of April 2026.

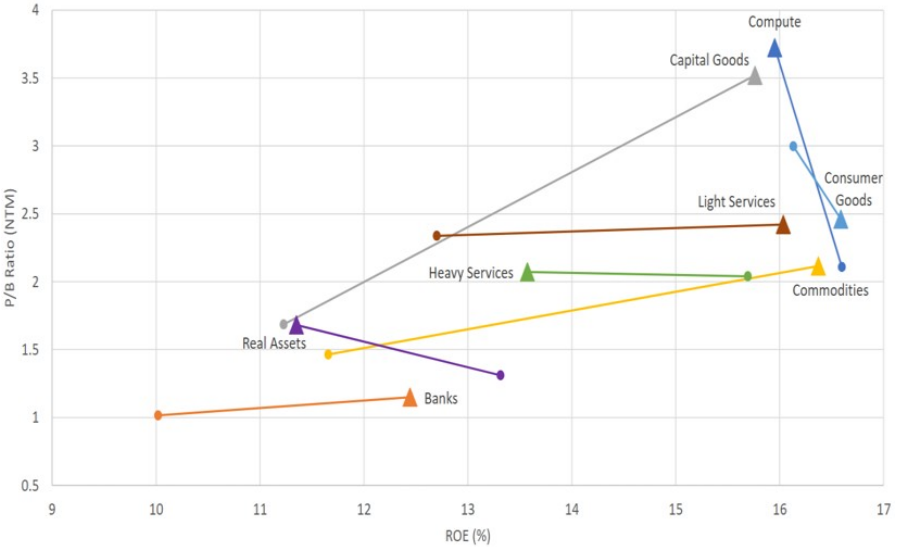
Assessing the Valuation, Profitability and Growth of Thematic Groups

Asia-EM Economic Exposure Categories Valuation vs. Prospective EPS growth – Compute priced for strong growth, while Commodities may be overlooked

Asia-EM P/B vs. Trailing ROE – Comparison vs. end-2022, showing strong uplift in profitability for Capital Goods, Commodities, Banks and Light Services

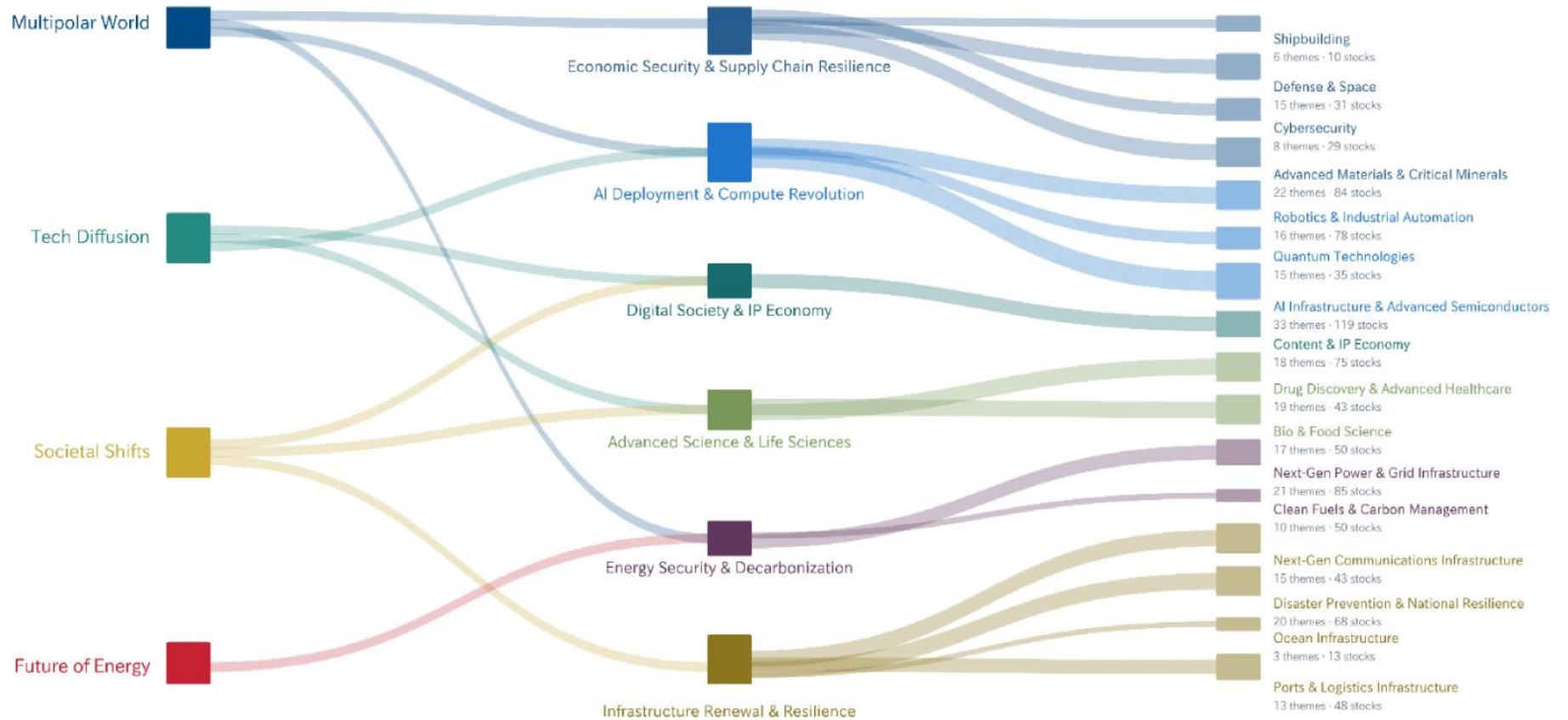


Source: FactSet, Morgan Stanley Research; Data as of 7 May 2026



Source: FactSet, Morgan Stanley Research; Data as of 7 May 2026

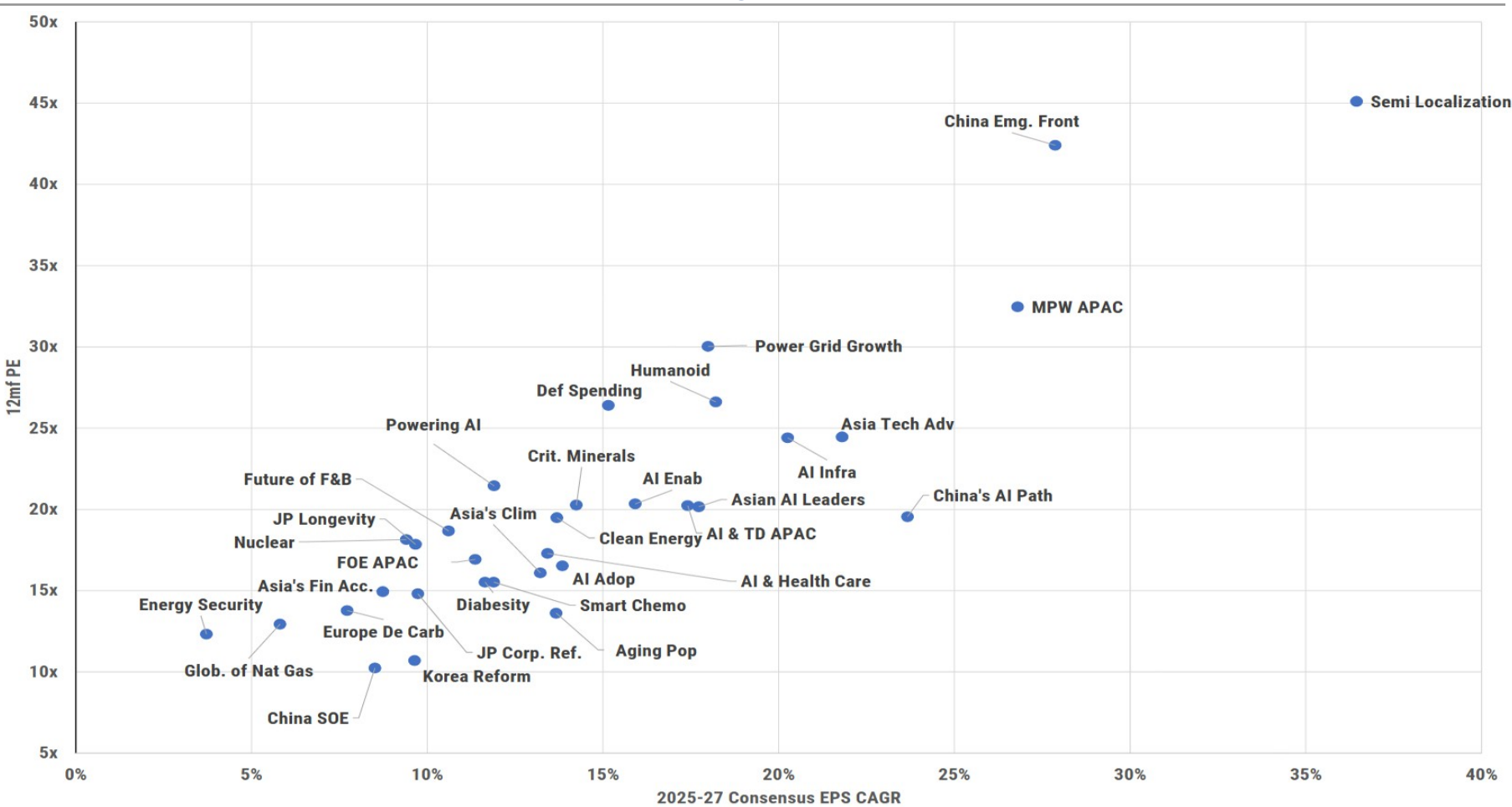
Japan — PM Takaichi's 17 Strategic Domains Converge into a Set of Concepts



Note: MS's four Big Themes are defined as the top-level investment concepts (L0). L1 comprises six investment narratives derived from L0. L2 is defined as the 17 strategic domains under the Takaichi administration ("Defense and Space" are consolidated into single category. "Energy security and GX" are split into "Next-Gen Power & Grid Infra" and "Clean Fuels & Carbon Management," with fusion energy included in the former. Robotics is treated as a standalone theme.). L3 contains L4, the stock-selection categories. The universe is Prime-listed companies plus Astroscale.

Source: Morgan Stanley Research

Asia and Global Thematic Valuations and Growth Outlook – China's AI Path, Asia AI Adoption Leaders and Korea Reform Trading at More Attractive Forward PEG Ratios



Source: Factset, IBES Consensus, Morgan Stanley Research, Data as of May 7, 2026.

Morgan Stanley Asia Pacific Thematic Focus List – Highest Conviction Opportunities

Ticker	Company Name	Industry Group	Analyst	Market	MC US\$bn	Last Price (LCY)	Upside to Base	Upside to Bull	Bull / Bear	AI & Tech Diffusion	Thematic Materiality		Societal Shifts
											Multipolar World	Future of Energy	
2330.TW	TSMC	Semiconductors	Chan, Charlie	Taiwan	1851.3	2235.0	16%	40%	1.09	Core	Signif.	Signif.	
005930.KS	Samsung Electronics	Tech. Hardware & Equipment	Kim, Shawn	S. Korea	1398.5	285500.0	33%	51%	0.87	Core	Signif.	Core	Moderate
0700.HK	Tencent Holdings Ltd.	Media & Entertainment	Yu, Gary	China	550.5	464.4	40%	72%	-21.51	Core			
300750.SZ	Contemporary Amperex Technology Co. Ltd.	Capital Goods	Lu, Jack	China	314.2	446.1	33%	51%	1.11	Signif.		Core	
2308.TW	Delta Electronics Inc.	Tech. Hardware & Equipment	Shih, Sharon	Taiwan	186.3	2245.0	20%	47%	1.14	Core	Signif.	Core	
1299.HK	AIA Group Ltd	Insurance	Xu, Richard	Hong Kong	116.9	86.6	26%	51%	1.67	Signif.			Core
7011.T	Mitsubishi Heavy Industries	Capital Goods	Kitaura, Takeshi	Japan	94.0	4384.0	25%	67%	10.27	Signif.	Core	Core	
002371.SZ	NAURA Technology Group Co Ltd	Semiconductors	Chan, Charlie	China	61.1	573.2	5%	48%	1.17	Signif.	Signif.		
LART.NS	Larsen & Toubro Ltd	Capital Goods	Achhipalia, Girish	India	57.9	3974.5	25%	72%	3.31		Signif.	Signif.	
034020.KS	Doosan Enerbility	Capital Goods	Choi, Heewon	S. Korea	56.1	128000.0	-14%	21%	0.34	Signif.	Signif.	Core	
2359.HK	WuXi AppTec Co Ltd	Pharma, Biotech & Life Sciences	Tam, Laurence	China	46.8	138.1	12%	52%	0.82	Moderate	Signif.		Core
012450.KS	Hanwha Aerospace	Capital Goods	Seok, Joon	S. Korea	45.7	1315000.0	37%	67%	4.12		Signif.		
6954.T	Fanuc	Capital Goods	Jiang, Lisa	Japan	45.1	7564.0	-7%	19%	0.39	Moderate	Signif.		
267260.KS	HD Hyundai Electric Co Ltd	Capital Goods	Kim, Ryan	S. Korea	33.6	1362000.0	10%	32%	0.69	Signif.		Signif.	
300124.SZ	Shenzhen Inovance Technology	Capital Goods	Zhong, Sheng	China	30.7	77.5	23%	68%	1.91	Core	Core	Moderate	
6669.TW	Wiwynn Corp	Tech. Hardware & Equipment	Kao, Howard	Taiwan	28.9	5340.0	40%	79%	4.43	Core			
GULF.BK	Gulf Development PCL	Utilities	Maheshwari, Mayank	Thailand	27.3	58.8	29%	53%	1.67	Moderate	Moderate	Signif.	
STEG.SI	ST Engineering	Capital Goods	Lee, Da Wei	Singapore	26.2	10.6	12%	71%	2.34		Core		
002028.SZ	Sieyuan Electric Co.Ltd.	Capital Goods	Hou, Eva	China	22.6	196.2	46%	88%	32.63	Signif.		Core	
5801.T	Furukawa Electric	Capital Goods	Shirakawa, Yu	Japan	19.5	43430.0	6%	34%	1.01	Core			
1801.T	Taisei	Capital Goods	Yagi, Ryo	Japan	18.8	17700.0	28%	56%	1.02		Moderate		Signif.
LYC.AX	Lynas Rare Earths	Materials	Anand, Rahul	Australia	14.0	19.7	4%	55%	1.93		Signif.		
2768.T	Sojitz	Capital Goods	Shirakawa, Yu	Japan	7.6	5726.0	-11%	30%	0.97		Moderate	Moderate	
6674.T	GS Yuasa Corporation	Automobiles & Components	Kakiuchi, Shinji	Japan	4.2	6565.0	26%	76%	4.68		Moderate	Core	
GLF.AX	GemLife Communities Group	Real Estate	Berry, Lauren	Australia	1.3	4.6	19%	71%	1.42				Core

Source: FactSet, Morgan Stanley Research; Data as of May 8, 2026

Asia Pacific Industrial Enablers – Key Beneficiaries of the Investment Super Cycle

Company Name	Ticker	GICS Industry	Market	MS Analyst	MS Rating	Last Price	Upside to TP	Market Cap (US\$bn)	P/E 2027 MSe	ROE	F2Y Net Profit CAGR
Mitsubishi Heavy Industries	7011.T	Machinery	Japan	Kitaura, Takeshi	OW	4,384.00	25%	94.0	31.9	14.3%	28.6%
Larsen & Toubro Ltd	LART.NS	Construction & Engineering	India	Achhipalia, Girish	OW	3,940.20	26%	57.4	24.4	20.4%	17.4%
Doosan Enerbility	034020.KS	Electrical Equipment	S. Korea	Choi, Heewon	OW	128,000.00	-14%	56.1	107.3	10.3%	83.9%
Fanuc	6954.T	Machinery	Japan	Jiang, Lisa	OW	7,564.00	-7%	45.1	29.8	12.8%	23.9%
HD Hyundai Electric Co Ltd	267260.KS	Electrical Equipment	S. Korea	Kim, Ryan	OW	1,362,000.00	10%	33.6	36.0	51.9%	35.5%
WeiChai Power	000338.SZ	Machinery	China	Zhong, Sheng	OW	33.53	28%	33.4	17.0	17.2%	27.3%
LS Electric	010120.KS	Electrical Equipment	S. Korea	Kim, Ryan	OW	304,000.00	-21%	31.2	68.0	28.5%	51.7%
Shenzhen Inovance Technology	300124.SZ	Machinery	China	Zhong, Sheng	OW	77.49	23%	30.7	27.2	19.4%	25.2%
Sieyuan Electric Co.Ltd.	002028.SZ	Electrical Equipment	China	Hou, Eva	OW	196.16	46%	22.6	23.9	33.0%	44.6%
Jiangsu Hengli Hydraulic Co.Ltd	601100.SS	Machinery	China	Zhong, Sheng	OW	113.77	17%	22.4	34.1	23.2%	29.7%
Furukawa Electric	5801.T	Electrical Equipment	Japan	Shirakawa, Yu	OW	43,430.00	6%	19.5	30.3	23.9%	58.9%
Bharat Heavy Electricals Ltd	BHEL.NS	Electrical Equipment	India	Achhipalia, Girish	OW	401.35	11%	14.8	52.9	10.1%	111.7%
Polycab India Ltd.	POLC.NS	Electrical Equipment	India	Achhipalia, Girish	OW	9,065.50	-4%	14.4	42.5	27.3%	19.8%
SGH Limited	SGH.AX	Trading Companies & Distributors	Australia	Michael, Joseph	OW	40.02	25%	11.8	15.1	19.6%	13.4%
AirTAC International	1590.TW	Machinery	Taiwan	Yang, Derrick	OW	1,550.00	29%	9.9	23.6	22.7%	25.3%
Kandenko	1942.T	Construction & Engineering	Japan	Yagi, Ryo	OW	7,165.00	12%	9.3	18.9	17.1%	17.6%
Dajin Heavy Industry	002487.SZ	Electrical Equipment	China	Hou, Eva	OW	85.00	33%	8.0	19.0	28.2%	63.0%
Samsung E&A Co Ltd	028050.KS	Construction & Engineering	S. Korea	Seok, Joon	OW	58,600.00	8%	7.9	14.1	15.4%	14.2%
Anhui Yingliu Electromechanical Co Ltd	603308.SS	Machinery	China	Li, Tom	OW	77.16	31%	7.7	47.0	20.2%	81.3%
Misumi Group	9962.T	Machinery	Japan	Jiang, Lisa	OW	3,426.00	-7%	6.0	19.4	13.9%	18.5%

Source: FactSet, Morgan Stanley Research; Data as of May 8, 2026

Thematic Correlation Matrix – Market Diversification Available Through Energy Security, Globalization of Gas, Defence, Critical Minerals and Diabetes

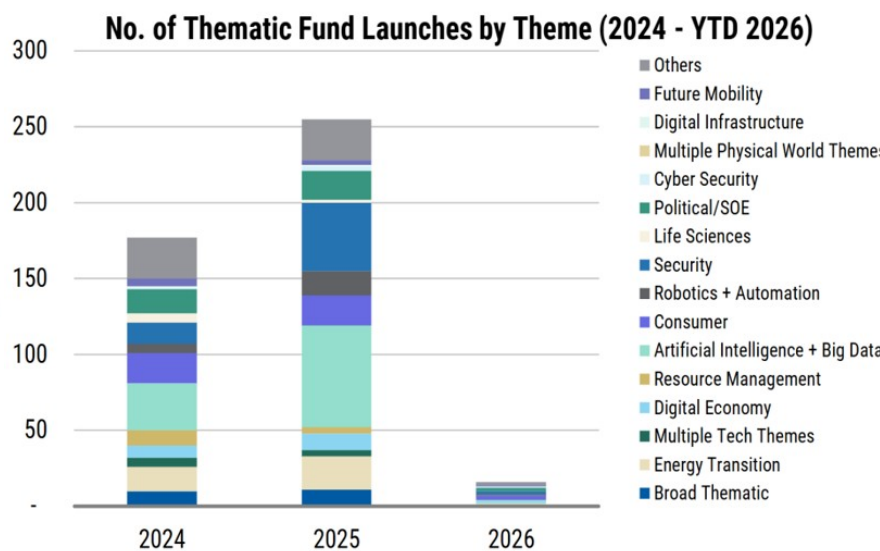
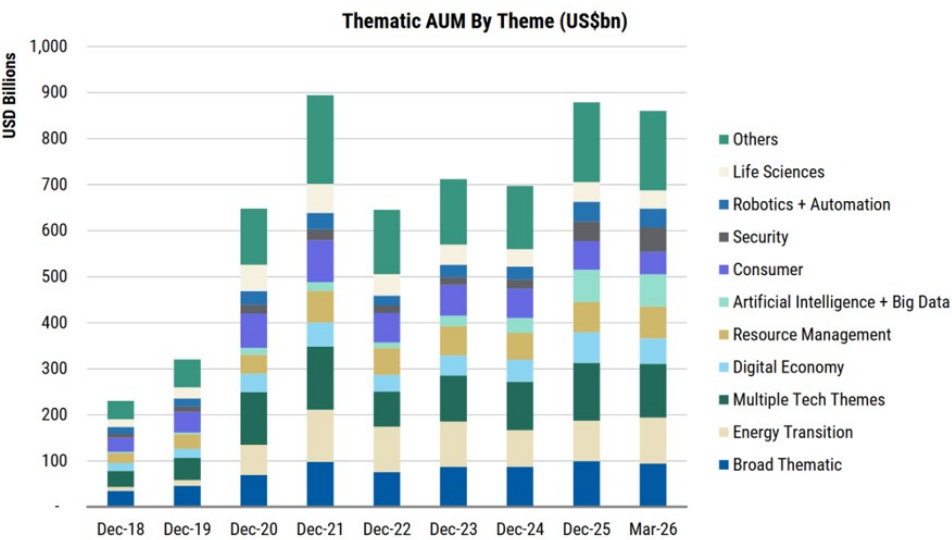
		AI & Tech Diffusion								Future of Energy								Multi-Polar World				Societal Shifts								MSCI APAC						
		AI Enablers	AI Adopters	AI Infrastructure	Humanoid 100	Asia's Technology Advances	Asian AI Adoption Leaders	China's Emerging Frontiers	China's AI Path	AI & Tech Disruption (APAC)	Powering AI	Nuclear Renaissance	Europe's Low Decarb Diet	Power Grid Growth & Evolution	Clean Energy, Storage & Material	Energy Security	Globalization of Natural Gas	Carbon as a Commodity	Asia's Climate Adaptation	Future of Energy (APAC)	The Rise in Defense Spending	Critical Mineral Supply Chain	Semiconductor Localisation	Multipolar World (APAC)	Diabetes Ecosystem	AI & Healthcare	Smart Chemo	Preparing for An Aging Population	Future of Food & Beverages		Japan Societal Shifts	China's SOE Reform	Japan's Corporate Reform	Korea Reform Renaissance	Asia's Financial Acceleration	
AI & Tech Diffusion	AI Enablers	1.0	0.9	0.9	0.9	0.8	0.8	0.6	0.8	0.8	0.7	0.5	0.6	0.7	0.7	0.4	0.3	0.5	0.5	0.6	0.5	0.4	0.7	0.7	0.2	0.5	0.3	0.6	0.5	0.1	0.4	0.5	0.4	0.7	0.8	
	AI Adopters	0.9	1.0	0.7	0.8	0.8	0.8	0.5	0.7	0.8	0.6	0.5	0.6	0.6	0.7	0.3	0.2	0.4	0.5	0.6	0.5	0.4	0.5	0.6	0.6	0.7	0.4	0.8	0.7	0.3	0.4	0.6	0.4	0.7	0.7	
	AI Infrastructure	0.9	0.7	1.0	0.8	0.7	0.7	0.6	0.7	0.8	0.8	0.6	0.5	0.8	0.7	0.4	0.4	0.5	0.5	0.7	0.5	0.4	0.7	0.8	0.1	0.3	0.2	0.5	0.4	0.0	0.4	0.4	0.4	0.6	0.8	
	Humanoid 100	0.9	0.8	0.8	1.0	0.8	0.8	0.7	0.8	0.9	0.6	0.5	0.5	0.7	0.7	0.2	0.2	0.4	0.6	0.6	0.5	0.4	0.7	0.7	0.3	0.5	0.3	0.6	0.5	0.2	0.4	0.4	0.4	0.7	0.8	
	Asia's Technology Advances	0.8	0.8	0.7	0.8	1.0	0.9	0.8	1.0	0.9	0.6	0.4	0.4	0.6	0.6	0.2	0.1	0.3	0.6	0.6	0.5	0.4	0.8	0.8	0.2	0.6	0.4	0.5	0.5	0.2	0.5	0.4	0.3	0.7	0.8	
	Asian AI Adoption Leaders	0.8	0.8	0.7	0.8	0.9	1.0	0.5	0.8	0.9	0.5	0.5	0.4	0.4	0.5	0.3	0.2	0.3	0.6	0.5	0.4	0.3	0.5	0.6	0.3	0.6	0.4	0.6	0.5	0.3	0.4	0.6	0.3	0.7	0.8	
	China's Emerging Frontiers	0.6	0.5	0.6	0.7	0.8	0.8	0.5	1.0	0.8	0.7	0.5	0.3	0.2	0.5	0.5	0.0	0.0	0.1	0.5	0.5	0.4	0.5	0.9	0.8	0.1	0.3	0.2	0.3	0.2	0.0	0.4	0.1	0.3	0.3	0.5
	China's AI Path	0.8	0.7	0.7	0.8	1.0	0.8	0.8	1.0	0.9	0.6	0.4	0.4	0.6	0.6	0.2	0.1	0.3	0.6	0.6	0.5	0.4	0.8	0.8	0.2	0.6	0.4	0.5	0.5	0.1	0.5	0.4	0.3	0.7	0.7	
Future of Energy	AI & Tech Disruption (APAC)	0.8	0.8	0.8	0.9	0.9	0.9	0.7	0.9	1.0	0.6	0.5	0.5	0.6	0.6	0.3	0.2	0.4	0.7	0.8	0.5	0.4	0.7	0.7	0.3	0.6	0.4	0.5	0.6	0.3	0.4	0.6	0.5	0.8	0.9	
	Powering AI	0.7	0.6	0.8	0.6	0.6	0.5	0.5	0.6	0.6	1.0	0.8	0.6	0.9	0.7	0.4	0.4	0.5	0.6	0.7	0.5	0.4	0.6	0.7	0.1	0.4	0.3	0.5	0.5	0.2	0.5	0.4	0.4	0.6	0.7	
	Nuclear Renaissance	0.5	0.5	0.6	0.5	0.4	0.5	0.3	0.4	0.5	0.8	1.0	0.6	0.6	0.4	0.3	0.3	0.2	0.5	0.7	0.5	0.4	0.5	0.6	0.2	0.5	0.3	0.4	0.6	0.4	0.5	0.6	0.5	0.6	0.7	
	Europe's Low Decarb Diet	0.6	0.6	0.5	0.5	0.4	0.4	0.2	0.4	0.5	0.6	0.6	1.0	0.5	0.6	0.6	0.4	0.5	0.5	0.5	0.2	0.4	0.4	0.4	0.3	0.5	0.3	0.5	0.6	0.3	0.4	0.5	0.5	0.6	0.7	
	Power Grid Growth & Evolution	0.7	0.6	0.8	0.7	0.6	0.4	0.5	0.6	0.6	0.9	0.6	0.5	1.0	0.7	0.3	0.2	0.4	0.6	0.7	0.4	0.4	0.6	0.7	0.1	0.3	0.1	0.4	0.5	0.0	0.5	0.3	0.3	0.5	0.6	
	Clean Energy, Storage & Material	0.7	0.7	0.7	0.7	0.6	0.5	0.5	0.6	0.6	0.7	0.4	0.6	0.7	1.0	0.3	0.3	0.4	0.5	0.6	0.3	0.5	0.5	0.5	0.3	0.4	0.2	0.5	0.6	0.1	0.6	0.2	0.3	0.5	0.5	
	Energy Security	0.4	0.3	0.4	0.2	0.2	0.3	0.0	0.2	0.3	0.4	0.3	0.6	0.3	0.3	1.0	0.8	0.8	0.3	0.4	0.0	0.1	0.1	0.2	-0.1	0.2	0.1	0.2	0.4	0.2	0.2	0.4	0.4	0.4	0.4	
	Globalization of Natural Gas	0.3	0.2	0.4	0.2	0.1	0.2	0.0	0.1	0.2	0.4	0.3	0.4	0.2	0.3	0.8	1.0	0.7	0.1	0.3	0.1	0.1	0.1	0.2	-0.1	0.1	-0.1	0.1	0.3	0.0	0.2	0.2	0.3	0.3	0.3	
Multi-Polar World	Carbon as a Commodity	0.5	0.4	0.5	0.4	0.3	0.3	0.1	0.3	0.4	0.5	0.2	0.5	0.4	0.4	0.8	0.7	1.0	0.2	0.4	0.3	0.1	0.2	0.3	-0.1	0.2	0.1	0.2	0.4	0.0	0.2	0.3	0.3	0.4	0.4	
	Asia's Climate Adaptation	0.5	0.5	0.5	0.6	0.6	0.6	0.5	0.6	0.7	0.6	0.5	0.5	0.6	0.5	0.3	0.1	0.2	1.0	0.8	0.3	0.4	0.5	0.6	0.3	0.5	0.3	0.5	0.7	0.5	0.5	0.7	0.5	0.6	0.7	
	Future of Energy (APAC)	0.6	0.6	0.7	0.6	0.6	0.5	0.5	0.6	0.8	0.7	0.7	0.5	0.7	0.6	0.4	0.3	0.4	0.8	1.0	0.3	0.4	0.5	0.6	0.2	0.4	0.2	0.4	0.7	0.4	0.6	0.6	0.6	0.7	0.8	
	The Rise in Defense Spending	0.5	0.5	0.5	0.5	0.5	0.4	0.4	0.5	0.5	0.5	0.5	0.2	0.4	0.3	0.0	0.1	0.3	0.3	0.3	1.0	0.2	0.5	0.6	0.3	0.4	0.2	0.3	0.3	0.1	0.1	0.3	0.2	0.4	0.4	
Societal Shifts	Critical Mineral Supply Chain	0.4	0.4	0.4	0.4	0.4	0.3	0.5	0.4	0.4	0.4	0.4	0.4	0.5	0.1	0.1	0.1	0.4	0.4	0.2	1.0	0.5	0.6	0.2	0.4	0.3	0.3	0.4	0.1	0.7	0.1	0.2	0.3	0.4	0.4	
	Semiconductor Localisation	0.7	0.5	0.7	0.7	0.8	0.5	0.9	0.8	0.7	0.6	0.5	0.4	0.6	0.5	0.1	0.1	0.2	0.5	0.5	0.5	1.0	0.9	0.1	0.4	0.3	0.3	0.3	0.1	0.4	0.3	0.4	0.5	0.6	0.6	
	Multipolar World (APAC)	0.7	0.6	0.8	0.7	0.8	0.6	0.8	0.8	0.7	0.7	0.6	0.4	0.7	0.5	0.2	0.2	0.3	0.6	0.6	0.6	0.6	0.9	1.0	0.2	0.5	0.4	0.4	0.4	0.1	0.5	0.4	0.4	0.5	0.7	
	Diabetes Ecosystem	0.2	0.6	0.1	0.3	0.2	0.3	0.1	0.2	0.3	0.1	0.2	0.3	0.1	0.3	-0.1	-0.1	-0.1	0.3	0.2	0.3	0.2	0.1	0.2	1.0	0.6	0.5	0.7	0.6	0.6	0.2	0.4	0.3	0.4	0.3	
	AI & Healthcare	0.5	0.7	0.3	0.5	0.6	0.6	0.3	0.6	0.6	0.4	0.5	0.5	0.3	0.4	0.2	0.1	0.2	0.5	0.4	0.4	0.4	0.4	0.5	0.6	1.0	0.7	0.6	0.7	0.5	0.4	0.6	0.4	0.6	0.6	
	Smart Chemo	0.3	0.4	0.2	0.3	0.4	0.4	0.2	0.4	0.4	0.4	0.3	0.3	0.3	0.1	0.2	0.1	-0.1	0.1	0.3	0.2	0.2	0.3	0.3	0.4	0.5	0.7	1.0	0.5	0.4	0.4	0.1	0.4	0.3	0.5	0.4
	Preparing for An Aging Population	0.6	0.8	0.5	0.6	0.5	0.6	0.3	0.5	0.5	0.5	0.4	0.5	0.4	0.5	0.2	0.1	0.2	0.5	0.4	0.3	0.3	0.3	0.4	0.7	0.6	0.5	1.0	0.6	0.4	0.2	0.6	0.4	0.7	0.6	
	Future of Food & Beverages	0.5	0.7	0.4	0.5	0.5	0.5	0.2	0.5	0.6	0.5	0.6	0.6	0.5	0.6	0.4	0.3	0.4	0.7	0.7	0.3	0.4	0.3	0.4	0.6	0.7	0.4	0.6	1.0	0.7	0.4	0.7	0.5	0.7	0.7	
MSCI APAC	Japan Societal Shifts	0.1	0.3	0.0	0.2	0.2	0.3	0.0	0.1	0.3	0.2	0.4	0.3	0.0	0.1	0.2	0.0	0.0	0.5	0.4	0.1	0.1	0.1	0.1	0.6	0.5	0.4	0.4	0.7	1.0	0.2	0.6	0.5	0.4	0.5	
	China's SOE Reform	0.4	0.4	0.4	0.4	0.5	0.4	0.4	0.5	0.4	0.5	0.5	0.4	0.5	0.6	0.2	0.2	0.2	0.5	0.6	0.1	0.7	0.4	0.5	0.2	0.4	0.1	0.2	0.4	0.2	1.0	0.1	0.3	0.3	0.5	
	Japan's Corporate Reform	0.5	0.6	0.4	0.4	0.4	0.6	0.1	0.4	0.6	0.4	0.6	0.5	0.3	0.2	0.4	0.2	0.3	0.7	0.6	0.3	0.1	0.3	0.4	0.4	0.6	0.4	0.6	0.7	0.6	0.1	1.0	0.5	0.7	0.7	
	Korea Reform Renaissance	0.4	0.4	0.4	0.4	0.3	0.3	0.3	0.3	0.5	0.4	0.5	0.5	0.3	0.3	0.4	0.3	0.3	0.5	0.6	0.2	0.2	0.4	0.4	0.3	0.4	0.3	0.4	0.5	0.5	0.3	0.5	1.0	0.5	0.6	
	Asia's Financial Acceleration	0.7	0.7	0.6	0.7	0.7	0.7	0.3	0.7	0.8	0.6	0.6	0.6	0.5	0.5	0.4	0.3	0.4	0.6	0.7	0.4	0.3	0.5	0.5	0.4	0.6	0.5	0.7	0.7	0.4	0.3	0.7	0.5	1.0	0.8	
	MSCI APAC	0.8	0.7	0.8	0.8	0.8	0.8	0.5	0.7	0.9	0.7	0.7	0.7	0.6	0.5	0.4	0.3	0.4	0.7	0.8	0.4	0.4	0.6	0.7	0.3	0.6	0.4	0.6	0.7	0.5	0.5	0.7	0.6	0.8	1.0	

Source: Factset, Morgan Stanley Research, Data as of May 6, 2026; Data shows 52-week, weekly price correlations of an equal weighted price index of each sub-theme

Tracking Thematic Fund Flows – Thematic Equity Funds AUM Totaled US\$808bn as of 2025 (+25% yoy), with Recent Launches Focused on AI and Security

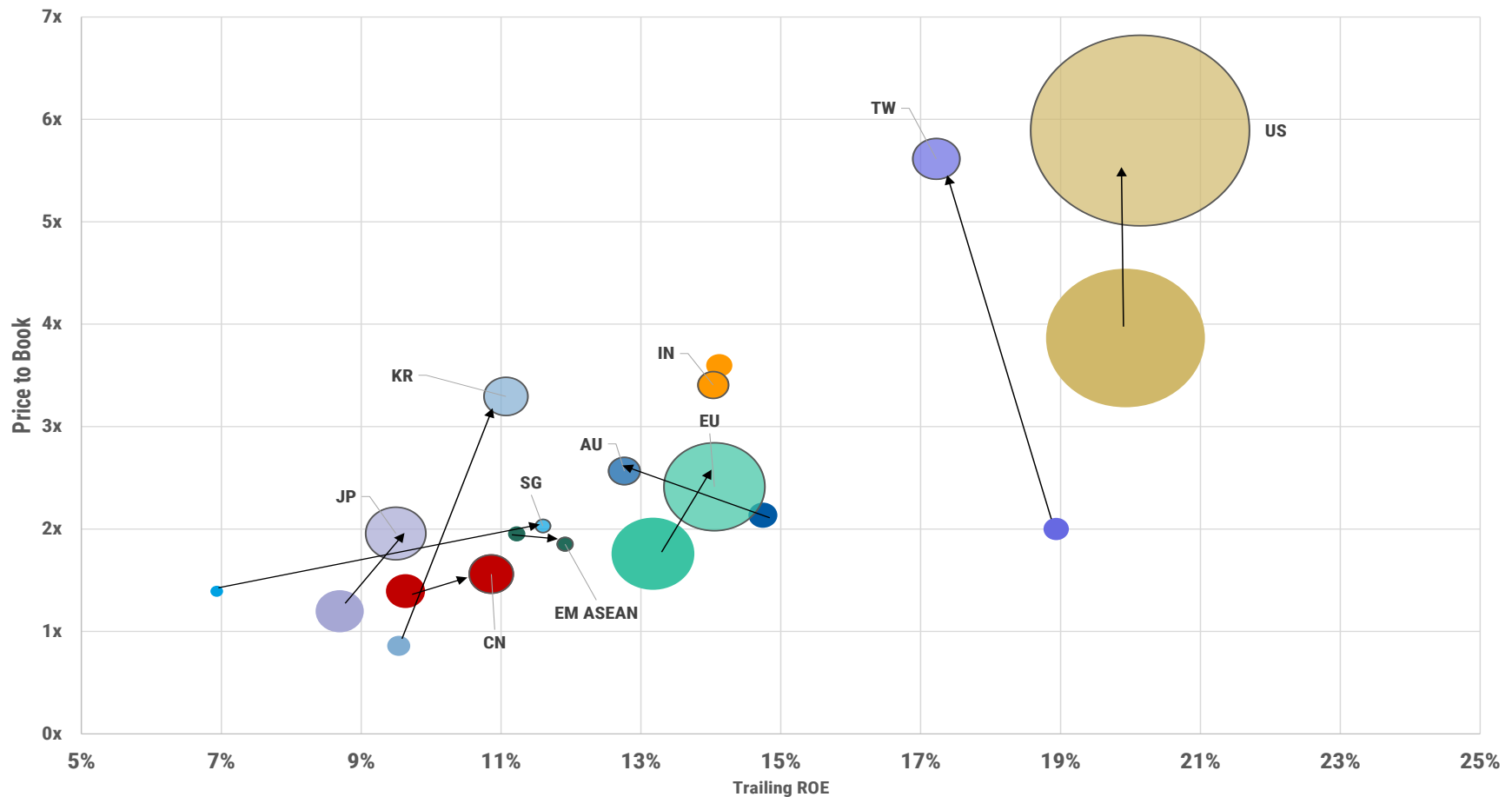
Global Thematic Equity AUM

Global Thematic Fund Launches



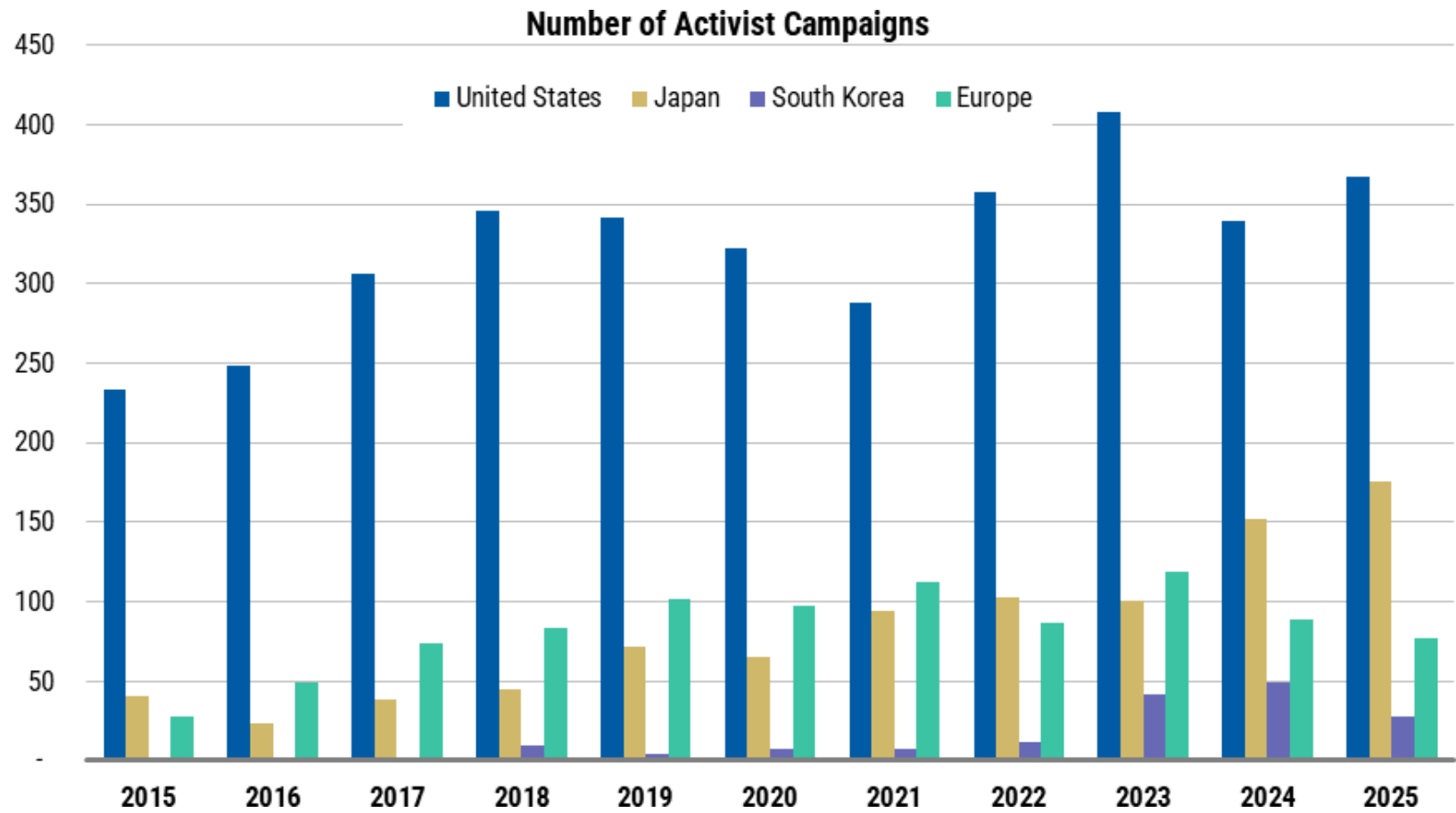
Source: Morgan Stanley Research, Morningstar, FactSet; Data as of March 31, 2026.

Changes from End-2022 on Price/Book vs. ROE Scatterplot – Capital Market Reform Programs Supporting a Recovery on ROE and Re-rating of Asia's Leading Markets



Source: FactSet, MSCI, Morgan Stanley Research. Note: Data as of May 14, 2026. Bubble size represents free float market capitalization.

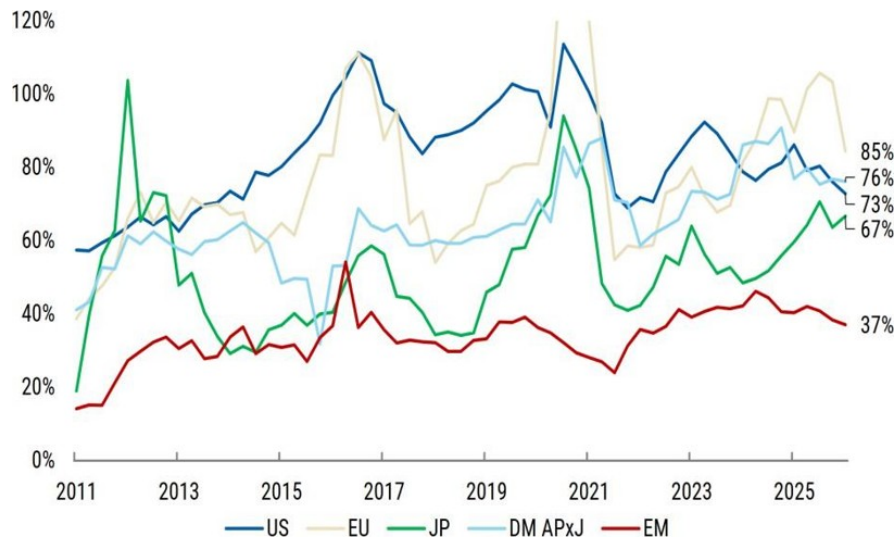
Strong Momentum in Activism/Engagement in Japan, but Korea Attracting Attention



Source: Bloomberg, Morgan Stanley Research; Data as of March 2026

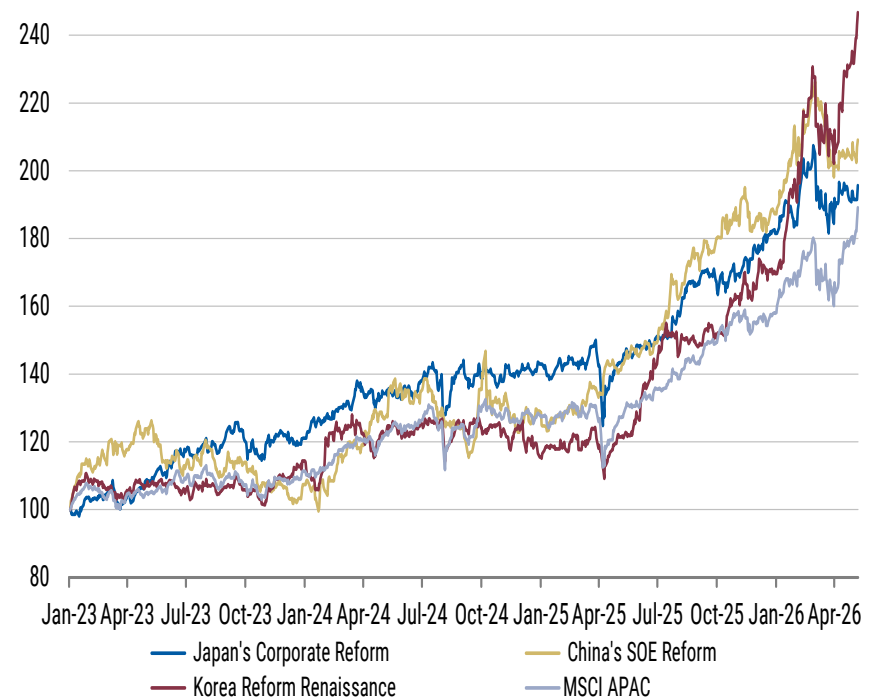
Asia's Competitive Reinvention and Reform Beneficiaries

Total payout ratio trends (dividends + net buybacks) - Japan has more than doubled since Abenomics; EM continues to lag at 37% given high investment



Source: Bloomberg, Morgan Stanley Research. Quarterly data as at end-2025.

Corporate reform opportunities have been outperforming across Asia, even in a strong market



Source: FactSet, Morgan Stanley Research; Data as of May 7, 2026

MSCI Index Breakdown by Industry Focus – Sub-Industry Segregation

Compute	Communications Equipment, Electronic Components, Electronic Components, Electronic Equipment & Instruments, Electronic Manufacturing Services, Semiconductor Materials & Equipment, Semiconductors, Technology Hardware Storage & Peripherals
Real Assets	Airport Services, Alternative Carriers, Cable & Satellite, Data Center REITs, Diversified Real Estate Activities, Diversified REITs, Electric Utilities, Gas Utilities, Health Care REITs, Highways & Railroads, Hotel & Resort REITs, Independent Power Producers & Energy Traders, Industrial REITs, Integrated Telecommunication Services, Marine Ports & Services, Mortgage REITs, Multi-Family Residential REITs, Multi-Utilities, Office REITs, Oil & Gas Storage & Transportation, Other Specialized REITs, Real Estate Development, Real Estate Operating Companies, Renewable Electricity, Retail REITs, Self-Storage REITs, Single-Family Residential REITs, Telecom Tower REITs, Timber REITs, Water Utilities, Wireless Telecommunication Services
Commodities	Aluminum, Coal & Consumable Fuels, Commodity Chemicals, Construction Materials, Copper, Diversified Chemicals, Diversified Metals & Mining, Fertilizers & Agricultural Chemicals, Forest Products, Gold, Industrial Gases, Integrated Oil & Gas, Paper Products, Precious Metals & Minerals, Silver, Specialty Chemicals, Steel, Textiles
Capital Goods	Aerospace & Defense, Agricultural & Farm Machinery, Building Products, Construction Machinery & Heavy Transportation Equipment, Electrical Components & Equipment, Health Care Equipment, Heavy Electrical Equipment, Industrial Conglomerates, Industrial Machinery & Supplies & Components
Consumer Goods	Agricultural Products & Services, Apparel Accessories & Luxury Goods, Automobile Manufacturers, Automotive Parts & Equipment, Brewers, Consumer Electronics, Distillers & Vintners, Footwear, Health Care Supplies, Home Furnishings, Household Appliances, Household Products, Housewares & Specialties, Leisure Products, Metal Glass & Plastic Containers, Motorcycle Manufacturers, Packaged Foods & Meats, Paper & Plastic Packaging Products & Materials, Personal Care Products, Soft Drinks & Non-alcoholic Beverages, Tires & Rubber, Tobacco
Banks	Diversified Banks, Regional Banks
Heavy Services	Air Freight & Logistics, Biotechnology, Cargo Ground Transportation, Casinos & Gaming, Construction & Engineering, Health Care Facilities, Homebuilding, Hotels Resorts & Cruise Lines, Leisure Facilities, Life Sciences Tools & Services, Marine Transportation, Oil & Gas Drilling, Oil & Gas Equipment & Services, Oil & Gas Exploration & Production, Oil & Gas Refining & Marketing, Passenger Airlines, Passenger Ground Transportation, Pharmaceuticals, Rail Transportation, Trading Companies & Distributors
Light Services	Advertising, Apparel Retail, Application Software, Asset Management & Custody Banks, Automotive Retail, Broadcasting, Broadline Retail, Commercial & Residential Mortgage Finance, Commercial Printing, Computer & Electronics Retail, Consumer Finance, Consumer Staples Merchandise Retail, Data Processing & Outsourced Services, Distributors, Diversified Capital Markets, Diversified Financial Services, Diversified Support Services, Drug Retail, Education Services, Environmental & Facilities Services, Financial Exchanges & Data, Food Distributors, Food Retail, Health Care Distributors, Health Care Services, Health Care Technology, Home Improvement Retail, Homefurnishing Retail, Human Resource & Employment Services, Insurance Brokers, Interactive Home Entertainment, Interactive Media & Services, Internet Services & Infrastructure, Investment Banking & Brokerage, IT Consulting & Other Services, Life & Health Insurance, Managed Health Care, Movies & Entertainment, Multi-line Insurance, Multi-Sector Holdings, Office Services & Supplies, Other Specialty Retail, Property & Casualty Insurance, Publishing, Real Estate Services, Reinsurance, Research & Consulting Services, Restaurants, Security & Alarm Services, Specialized Consumer Services, Specialized Finance, Systems Software, Technology Distributors, Transaction & Payment Processing Services

Source: Morgan Stanley Research

This report references U.S. Executive Order 14032 and/or entities or securities that are designated thereunder. U.S. persons may be prohibited from buying certain securities of entities named in this report. Readers are solely responsible for ensuring that their investment activities are carried out in compliance with applicable laws

This report references export controls and/or entities that may be subject to export control restrictions. Readers are solely responsible for ensuring that their investment or trade activities are carried out in compliance with applicable laws.

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Daniel K Blake; Stephen C Byrd; Ehsenra Fu; Jonathan F Garner; Kristal Ji.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of April 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: AIA Group Ltd, AirTAC International, Anhui Yingliu Electromechanical Co Ltd, Bharat Heavy Electricals Ltd, Contemporary Amperex Technology Co. Ltd., Delta Electronics Inc., Fanuc, Furukawa Electric, GS Yuasa Corporation, Hanwha Aerospace, Kandenko, Lynas Rare Earths, Misumi Group, NAURA Technology Group Co Ltd, Samsung E&A Co Ltd, Sieyuan Electric Co.Ltd., Taisei, TSMC, WeiChai Power, Wiwynn Corp, WuXi AppTec Co Ltd.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of AIA Group Ltd, Contemporary Amperex Technology Co. Ltd., GemLife Communities Group, Kandenko, Mitsubishi Heavy Industries, Samsung Electronics, Sojitz, Tencent Holdings Ltd., Wiwynn Corp, WuXi AppTec Co Ltd.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Contemporary Amperex Technology Co. Ltd., GemLife Communities Group, Kandenko, Mitsubishi Heavy Industries, Shenzhen Inovance Technology, Sojitz, ST Engineering, Taisei, Tencent Holdings Ltd., Wiwynn Corp, WuXi AppTec Co Ltd.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from AIA Group Ltd, AirTAC International, Anhui Yingliu Electromechanical Co Ltd, Contemporary Amperex Technology Co. Ltd., Delta Electronics Inc., Doosan Enerbility, Fanuc, Furukawa Electric, GemLife Communities Group, GS Yuasa Corporation, Gulf Development PCL, Hanwha Aerospace, HD Hyundai Electric Co Ltd, Kandenko, Larsen & Toubro Ltd, Lynas Rare Earths, Misumi Group, Mitsubishi Heavy Industries, Samsung Electronics, SGH Limited, Shenzhen Inovance Technology, Sojitz, ST Engineering, Taisei, Tencent Holdings Ltd., TSMC, Wiwynn Corp, WuXi AppTec Co Ltd.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from AIA Group Ltd, Sojitz, Tencent Holdings Ltd., TSMC, WuXi AppTec Co Ltd.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: AIA Group Ltd, AirTAC International, Anhui Yingliu Electromechanical Co Ltd, Contemporary Amperex Technology Co. Ltd., Delta Electronics Inc., Doosan Enerbility, Furukawa Electric, GemLife Communities Group, GS Yuasa Corporation, Gulf Development PCL, Hanwha Aerospace, HD Hyundai Electric Co Ltd, Kandenko, Larsen & Toubro Ltd, Lynas Rare Earths, Mitsubishi Heavy Industries, Samsung Electronics, SGH Limited, Shenzhen Inovance Technology, Sojitz, ST Engineering, Taisei, Tencent Holdings Ltd., TSMC, Wiwynn Corp, WuXi AppTec Co Ltd.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: AIA Group Ltd, Doosan Enerbility, Larsen & Toubro Ltd, Sojitz, Tencent Holdings Ltd., TSMC, WuXi AppTec Co Ltd.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of April 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

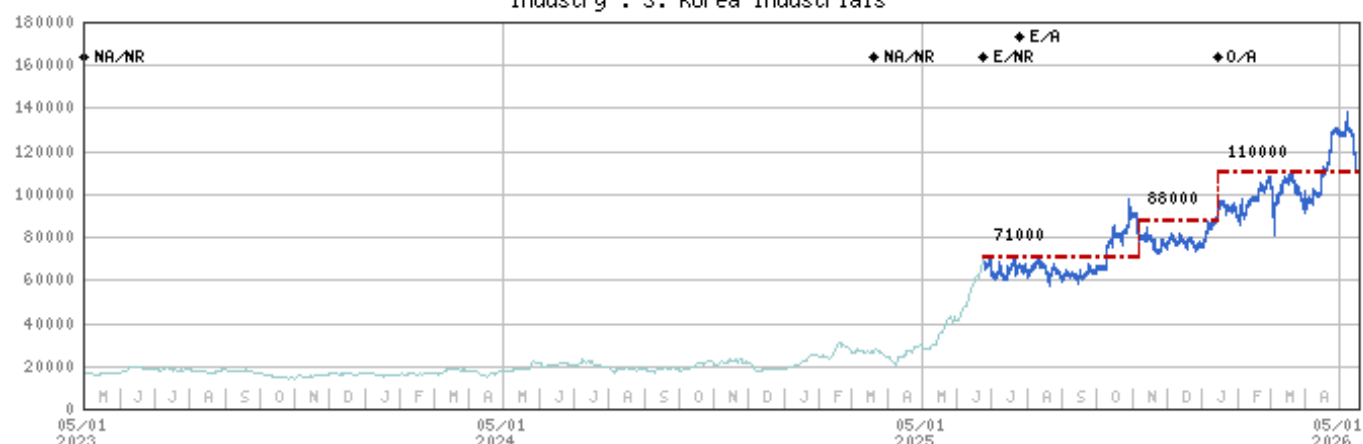
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Doosan Enerbility (034020.KS) - As of 05/17/26 GMT in KRW
Industry : S. Korea Industrials



Stock Rating History: 5/1/21 : NA/NR; 3/20/25 : NA/NR; 6/24/25 : E/NR; 7/25/25 : E/A; 1/14/26 : O/A

Price Target History: 12/11/20 : NA; 6/24/25 : 71000; 11/6/25 : 88000; 1/14/26 : 110000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

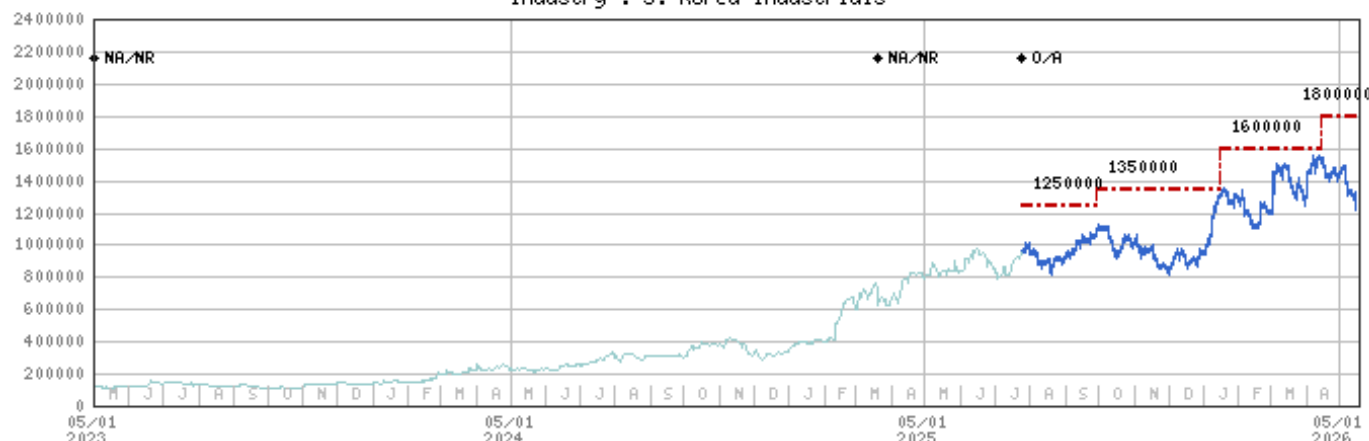
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Hanwha Aerospace (012450.KS) - As of 05/17/26 GMT in KRW
Industry : S. Korea Industrials



Stock Rating History: 5/1/21 : NA/NR; 3/20/25 : NA/NR; 7/25/25 : O/A

Price Target History: 7/25/25 : 1250000; 9/29/25 : 1350000; 1/16/26 : 1600000; 4/14/26 : 1800000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

HD Hyundai Electric Co Ltd (267260.KS) - As of 05/17/26 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 3/25/25 : O/C; 6/13/25 : O/I; 9/21/25 : O/A

Price Target History: 3/25/25 : 460000; 6/24/25 : 600000; 10/21/25 : 800000; 10/23/25 : 900000; 1/22/26 : 1200000; 4/28/26 : 1500000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

LS Electric (010120.KS) - As of 05/17/26 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 3/25/25 : E/C; 6/13/25 : E/I; 9/21/25 : E/A; 1/22/26 : O/A

Price Target History: 3/25/25 : 42000; 6/3/25 : 46000; 10/21/25 : 66000; 1/22/26 : 136000; 4/22/26 : 240000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Samsung E&A Co Ltd (028050.KS) - As of 05/17/26 GMT in KRW
Industry : S. Korea Industrials



Stock Rating History: 5/1/21 : 0/NR; 3/16/22 : E/NR; 2/1/23 : 0/NR; 3/20/25 : 0/NR; 7/25/25 : 0/A

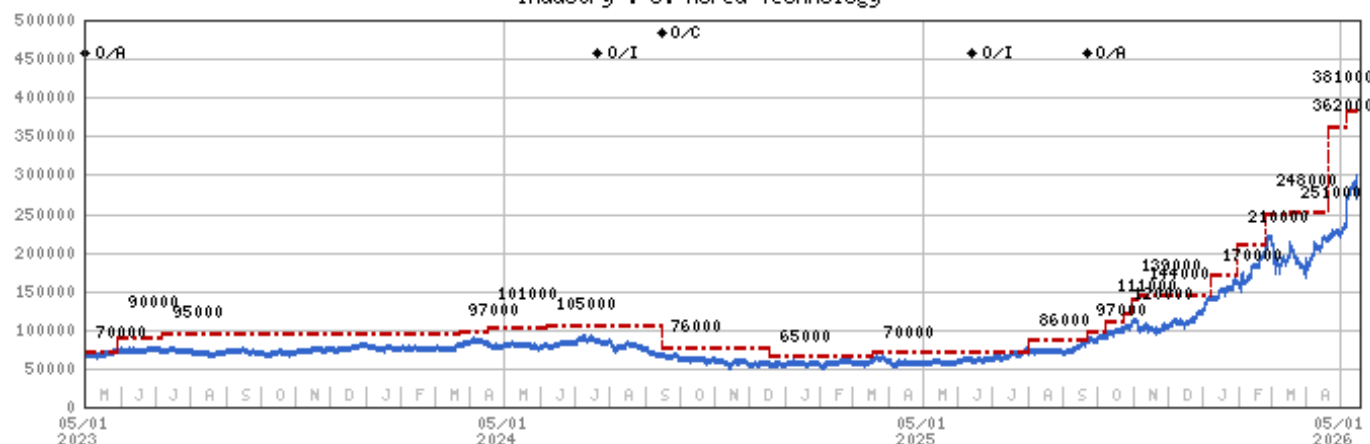
Price Target History: 2/5/21 : 15000; 5/3/21 : 20000; 6/10/21 : 26000; 3/16/22 : 30000; 7/28/22 : 24000; 2/1/23 : 32000;
7/28/23 : 42000; 11/7/23 : 34000; 1/24/25 : 24000; 8/13/25 : 36000; 4/29/26 : 63000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Samsung Electronics (005930.KS) - As of 05/17/26 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 5/1/21 : 0/A; 7/19/21 : 0/I; 8/12/21 : 0/C; 10/4/22 : 0/A; 7/21/24 : 0/I; 9/15/24 : 0/C; 6/13/25 : 0/I;
9/21/25 : 0/A

Price Target History: 2/25/21 : 115000; 5/18/21 : 93000; 6/8/21 : 98000; 8/12/21 : 89000; 9/15/21 : 95000; 12/3/21 : 97000;
3/18/22 : 95000; 4/28/22 : 85000; 6/10/22 : 80000; 7/5/22 : 75000; 7/22/22 : 70000; 9/17/22 : 68000; 3/21/23 : 70000;
5/30/23 : 90000; 7/7/23 : 95000; 3/22/24 : 97000; 4/16/24 : 101000; 6/6/24 : 105000; 9/15/24 : 76000; 12/18/24 : 65000;
3/19/25 : 70000; 8/1/25 : 86000; 9/21/25 : 97000; 10/8/25 : 111000; 10/23/25 : 120000; 10/30/25 : 139000; 11/5/25 : 144000;
1/8/26 : 170000; 1/30/26 : 210000; 2/24/26 : 248000; 3/18/26 : 251000; 4/19/26 : 362000; 5/6/26 : 381000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of AIA Group Ltd, Contemporary Amperex Technology Co. Ltd., Tencent Holdings Ltd., WeiChai Power, WuXi AppTec Co Ltd listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: <http://www.hkex.com.hk>.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The following companies do business in countries which are generally subject to comprehensive sanctions programs administered or enforced by the U.S. Department of the Treasury's Office of Foreign Assets Control ("OFAC") and by other countries and multi-national bodies: Samsung Electronics.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products. Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.